

long, pie-shaped wedge that slopes uphill. The uphill tilt is why it is called an ascending broadening wedge. Price bounces up and down and is contained by two diverging trendlines.

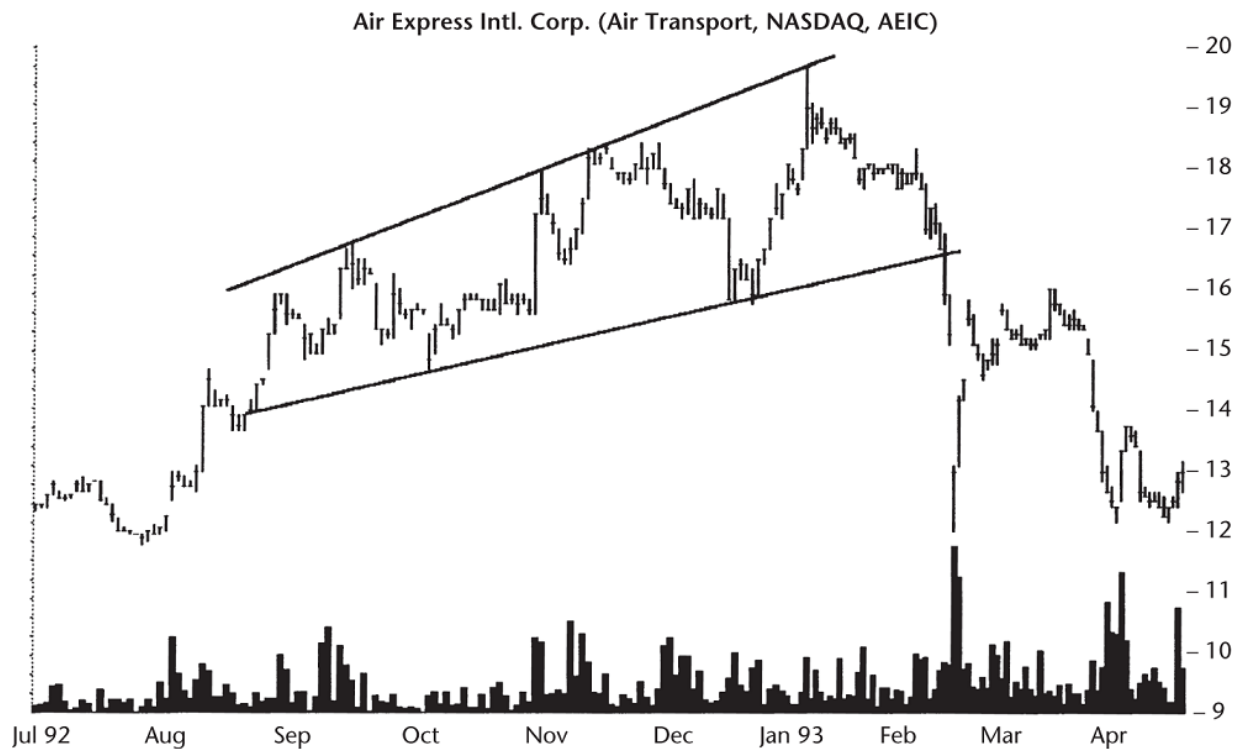


Figure 12.1 An ascending broadening wedge has two up-sloping trendlines that contain price that broadens over time.

Figure 12.2 shows a better example of a broadening wedge. Why better? Price crosses from down to up plenty of times, and it looks tighter, with the swings closer together than in the prior chart.

Both **Figures 12.1** and **12.2** show a similar situation. The chart pattern appears at the end of a rising price trend and signals a reversal. Although a reversal is not always the case, nor is the chart pattern required to be at the end of a rising price trend, both situations occur more often than not.

Figure 12.2 also shows an interesting pattern that is instrumental in identifying the start of a new price trend: the partial rise. Near the end of the wedge, after touching the lower trendline, price again moves up but fails to touch the top trendline. As price descends, it pierces the lower trendline and continues moving down. That's how partial rises are supposed to work: